
Feasibility Study & Pricing

Egyptian Market Analysis

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1. Executive Summary

ERP Pro is an open-source, self-hosted Enterprise Resource Planning system designed for Egyptian small and medium enterprises (SMEs). This document presents a feasibility study and pricing strategy for launching ERP Pro as a SaaS platform targeting the Egyptian market, where ERP adoption among SMEs is estimated at less than 5%.

The system addresses a clear market gap: no existing bilingual (Arabic/English) ERP system with professional UI, granular RBAC, modular licensing, and self-hosting capability is available at an affordable price point for Egyptian businesses. Competitors like Odoo (\$20-40/user/month), ERPNext (\$50/tenant/month), and Rushd (2,000-5,000 EGP/month) either lack Arabic support, are prohibitively expensive, or offer limited customization.

Investment Summary

Metric	Value
Initial Development Cost	520,000 EGP (one-time)
Monthly Operating Cost	1,600 - 2,900 EGP
Break-even Point	~40 paying customers (Month 10-12)
Year 1 Revenue Projection	504,000 EGP (ARR at Month 12)
Year 3 Revenue Projection	3,360,000 EGP (ARR at Month 36)
Target Customer Count (Year 3)	200 paying companies
Average Revenue Per Customer	1,400 EGP/month

2. Market Analysis

2.1 Target Market Size

Egypt has over 2.5 million active registered businesses according to the General Authority for Investment and Free Zones. The vast majority are SMEs with 5-50 employees. Key market segments include:

Micro Enterprises (1-5 employees): ~1.8 million businesses, primarily shops, small traders, and service providers. Price-sensitive, need simple accounting and inventory.

Small Enterprises (6-25 employees): ~500,000 businesses, growing companies with multiple departments. Need integrated sales, purchases, inventory, and basic accounting.

Medium Enterprises (26-250 employees): ~200,000 businesses, established companies with complex operations. Need full ERP including HR, manufacturing, and project management.

2.2 Market Gap Analysis

Current ERP solutions in the Egyptian market have significant gaps that ERP Pro addresses:

Gap	Current State	ERP Pro Solution
Language	Most systems are EN-only or AR-only	True bilingual with RTL support
Cost	2,000-15,000 EGP/month for existing solutions	Free self-hosted, 499+ EGP SaaS
Deployment	Complex setup, requires IT expertise	Docker one-command deployment
Data Sovereignty	Cloud-only, data on foreign servers	Self-hosted, full data control
Customization	Proprietary, limited modification	Full source code access
Modularity	Pay for all modules or none	Enable only what you use
Arabic UI	Poor RTL, untranslated interfaces	Native Arabic design

2.3 Competitive Landscape

System	Hosting	Price (Monthly)	Language	Market Share (Egypt)
Odoo	Cloud/Self-hosted	\$20-40/user/mo	Multi-lang	Growing (5-10%)
ERPNext	Cloud/Self-hosted	\$50/tenant/mo	Multi-lang	Niche (1-2%)
Rushd	Cloud only	2,000-5,000 EGP/mo	AR only	Established (10-15%)
Zoho	Cloud only	\$15-60/user/mo	EN mainly	Small (3-5%)
QuickBooks	Cloud only	\$30-200/mo	EN only	Accounting only (5%)
ERP Pro	Self-hosted	Free / 499+ EGP	EN + AR	New entrant

3. Pricing Model

3.1 SaaS Subscription Tiers

The pricing is designed to be accessible to Egyptian SMEs while covering operating costs and generating sustainable revenue. All prices are in Egyptian Pounds (EGP).

Plan	Price/Month	Users	Modules	Storage	Support
Starter	499 EGP	2	Sales, Purchases, Inventory	1 GB	Email only
Business	1,499 EGP	5	All 8 modules	5 GB	Email + Chat
Enterprise	3,499 EGP	20	All modules	20 GB	Priority support
Custom	Contact us	Unlimited	Custom config	Unlimited	Dedicated manager

3.2 Pricing Justification

The Starter plan at 499 EGP/month is positioned below the cheapest competitor (Rushd at 2,000 EGP/month) while providing core functionality. The Business plan at 1,499 EGP/month offers all modules at a fraction of Odoo's per-user pricing. For a 5-person team, Odoo would cost 100-200 USD (3,500-7,000 EGP/month) vs ERP Pro's 1,499 EGP.

3.3 Additional Revenue Streams

Annual Discount: 20% off for annual prepayment (pay 10 months, get 12). Encourages commitment and improves cash flow.

Onboarding Service: Free for Business+ plans. 2,000 EGP one-time for Starter plan. Includes data import, configuration, and training.

Custom Module Development: Quote-based pricing for custom module development. Typical range: 20,000-100,000 EGP per module.

Premium Support SLA: 1,500 EGP/month for guaranteed 4-hour response time and dedicated support channel.

Training Sessions: 500 EGP per 2-hour session. On-site or remote. Covers system administration, module-specific training, or advanced accounting.

Data Migration: Quote-based pricing for migrating data from other systems (Odoo, Excel, Rushd, etc.).

3.4 Free Trial Strategy

14-day free trial with full Business plan features. No credit card required. Trial instances are automatically deleted after 30 days if not converted. This reduces friction for evaluation while controlling infrastructure costs.

4. Development Costs

4.1 One-Time Development Investment

Category	Cost (EGP)	Breakdown
Backend Development	200,000	API design, business logic, database, testing
Frontend Development	150,000	React UI, all pages, responsive design, RTL
DevOps & Infrastructure	50,000	Docker setup, CI/CD, monitoring, deployment
QA & Testing	50,000	Unit tests (110), E2E tests (24), manual testing
Documentation	30,000	Technical docs, user manual, API docs, PDFs
UI/UX Design	40,000	Wireframes, mockups, design system, dark mode
Total	520,000	One-time investment

4.2 Monthly Operating Costs (Cloud Deployment)

These costs assume a single-server deployment handling up to 100 tenant companies:

Item	Specification	Monthly Cost (EGP)
VPS Server	4 vCPU, 8GB RAM, 100GB SSD (DigitalOcean/Hetzner)	800 - 1,200
PostgreSQL	Managed database or self-hosted on same VPS	0 - 500
Redis	Included with most VPS providers	0
Domain + SSL	1 domain + free Let's Encrypt SSL	50 - 100
Backup Storage	S3-compatible object storage, 50GB	100 - 200
Email Service	Transactional email (SMTP relay or SendGrid free tier)	0 - 100
Monitoring	Uptime monitoring (UptimeRobot free tier)	0
Total		950 - 2,100

4.3 Scaling Cost Projections

Scale	Customers	Server Spec	Monthly Cost (EGP)
Launch	1-50	4 vCPU, 8GB RAM	1,500
Growth	50-200	8 vCPU, 16GB RAM	3,000
Scale	200-500	16 vCPU, 32GB RAM + read replica	6,000
Enterprise	500+	Kubernetes cluster + managed DB	15,000+

5. Financial Projections

5.1 Revenue Projections (36-Month)

Month	Customer s	Plan Mix	MRR (EGP)	ARR (EGP)	Cumulative Revenue
3	5	3 Starter + 2 Biz	4,500	54,000	13,500
6	15	8 Starter + 5 Biz + 2 Ent	19,500	234,000	72,000
9	25	12 Starter + 8 Biz + 5 Ent	33,500	402,000	189,000
12	40	18 Starter + 14 Biz + 8 Ent	56,000	672,000	378,000
18	70	28 Starter + 25 Biz + 17 Ent	98,000	1,176,000	882,000
24	120	45 Starter + 42 Biz + 33 Ent	168,000	2,016,000	1,890,000
36	200	70 Starter + 70 Biz + 60 Ent	280,000	3,360,000	5,040,000

5.2 Break-Even Analysis

Fixed monthly costs: ~2,000 EGP (server + infrastructure). Variable costs per customer: ~0 EGP (shared infrastructure). Average revenue per customer: ~1,400 EGP/month (blended across plans).

Break-even formula: $\text{Customers_needed} = \text{Monthly_Fixed_Costs} / \text{Avg_Revenue_Per_Customer} = 2,000 / 1,400 = \sim 1.5$ customers. However, the initial 520,000 EGP development investment must also be recovered. Payback period: $520,000 / (56,000 - 2,000) = \sim 10$ months at Month 12 run rate. Full payback expected at Month 10-12.

5.3 Profitability Timeline

Period	Revenue	Costs	Net Profit	Status
Month 1-3	13,500	526,000	-512,500	Investment phase
Month 4-6	58,500	6,000	+52,500	Monthly profitable
Month 7-12	306,000	12,000	+294,000	Recovering investment
Year 1 Total	378,000	532,000	-154,000	Net: recovering
Year 2 Total	1,512,000	24,000	+1,488,000	Fully profitable
Year 3 Total	3,150,000	36,000	+3,114,000	Strong growth

6. Risks & Mitigations

Risk	Severity	Probability	Mitigation Strategy
Low market adoption	High	Medium	Free trial, onboarding support, Arabic-first marketing, partnership with local accountants
Competition from Odoo	High	High	Focus on Arabic UX, self-hosted option, lower price point, faster deployment
Data security breach	Critical	Low	Self-hosted = data sovereignty, security headers, rate limiting, regular security audits
Currency fluctuation (EGP)	Medium	High	EGP-denominated pricing, quarterly price reviews, USD cost hedging
Talent acquisition	Medium	Medium	Remote-friendly, competitive salaries, open-source community building
Scaling limitations	Low	Low	PostgreSQL handles millions of rows, horizontal scaling with read replicas
Regulatory changes	Medium	Low	Modular architecture allows quick compliance updates, tax module extensibility
Server infrastructure failure	High	Low	Automated daily backups, 14-day retention, tested restore procedure

6.1 Contingency Plans

- If adoption is slower than projected: reduce marketing spend, focus on organic growth through open-source community, offer extended free trials.
- If a major competitor launches Arabic support: accelerate feature development, differentiate on self-hosting and data sovereignty.
- If EGP devalues significantly: switch to USD-denominated pricing for international customers, adjust EGP prices quarterly.
- If infrastructure costs spike: migrate to bare-metal servers, optimize database queries, implement aggressive caching.

7. Implementation Roadmap

Phase	Timeline	Deliverables	Budget (EGP)
MVP Launch	Month 1-2	Core modules, Docker deployment, basic docs	100,000
SaaS Platform	Month 3-4	Multi-tenant hosting, billing, SuperAdmin panel	150,000
Market Entry	Month 5-6	Marketing site, free trial, onboarding flow	100,000
Growth	Month 7-12	Feature additions, mobile app, integrations	170,000
Scale	Year 2	Enterprise features, API marketplace, partnerships	200,000